

Wednesday, May 27, 2026

**REPRESENTATIVES AT GENERAL MEETINGS
RECIPIENTS OF naamsa MEDIA RELEASES**

**RE: QUARTERLY REVIEW OF BUSINESS CONDITIONS: NEW MOTOR VEHICLE
MANUFACTURING INDUSTRY / AUTOMOTIVE SECTOR: 1ST QUARTER 2026**

Ladies and Gentlemen,

Attached is a copy of **naamsa**'s quarterly review of business conditions for the South African motor vehicle manufacturing industry, during the first quarter of 2026, as submitted to the Director-General, Department of Trade, Industry and Competition [the dtic].

Industry vehicle sales, export, and import statistics for 2017 through 2025, together with current projections for 2026 and 2027, are reflected on the attachment to the submission.

KEY FEATURES: FIRST QUARTER 2026

- Aggregate new vehicle sales during the first quarter 2026 recorded an increase of 12,4% compared to the corresponding quarter 2025 and an increase of 1,2% compared to the fourth quarter 2025;
- First quarter 2026 aggregate industry employment as at 31st March 2026 totalled 31,905 reflecting an increase of 27 jobs compared to the 31,878 industry head count as at the end of December 2025;
- Average industry capacity utilisation levels during the first quarter 2025 reflected prevailing markets conditions as well as lower vehicle production volumes driven by lower export volumes during the quarter;
- New energy vehicle [NEV] sales by 23 industry brands increased by 31,5% from 3,487 units in the first quarter 2025 to 4,585 units in the first quarter 2026;
- Aggregate capital expenditure by the major light vehicle manufacturers in 2025 amounted to R7,2 billion, linked to new generation model investments;
- South Africa's global vehicle production market share decreased from 0,65% in 2024 to 0,64% in 2025, while its global vehicle production ranking remained at 21st;
- First quarter 2026 domestic vehicle production reflected a decrease of 5,3% compared to the corresponding quarter 2025;
- Vehicle exports decreased by 10,3% in the first quarter 2026 compared to the corresponding quarter 2025 due to decreasing exports to all major regions, with the exception of Africa and North America; and
- The **naamsa** CEOs Confidence Index, as an in-house leading business confidence indicator of current and future developments in the domestic automotive industry, reflects the sentiment expressed by the **naamsa** CEOs for the first quarter 2026 compared to the first quarter 2025 as well as automotive business conditions and the country's economy in general for the next 6 months.

Wednesday, May 27, 2026

Minister Parks TAU

Minister of Trade, Industry and Competition
Department of Trade, Industry and Competition
Private Bag X84
PRETORIA
0001

**RE: QUARTERLY REVIEW OF BUSINESS CONDITIONS: NEW MOTOR VEHICLE
MANUFACTURING INDUSTRY / AUTOMOTIVE SECTOR: 1ST QUARTER 2026**

Dear Hon. Minister TAU

naamsa would like to submit the following report on business conditions in the South African new motor vehicle manufacturing industry and the automotive sector during the first quarter of 2026.

1. EMPLOYMENT LEVELS AND TRENDS

The number of persons employed by the South African new vehicle manufacturing industry -comprising the major new vehicle manufacturers and specialist commercial vehicle and bus manufacturers - during the first quarter of 2026 may be set out as follows:

PERIOD	INDUSTRY TOTAL
Last pay week January 2026	32,113
Last pay week February 2026	31,876
Last pay week March 2026	31,905

Industry employment levels and trends reflect employees on the payroll of vehicle manufacturers. Aggregate industry employment as at 31st March 2026 totalled 31,905 reflecting an increase of 27 jobs compared to the 31,878 industry head count as at the end of December 2025.

The average monthly vehicle manufacturing industry employment number for 2025 was 32,115 compared to the 33,154 in 2024. Employment in the vehicle manufacturing industry is generally linked to production and the decrease in employment in 2025 mainly related to lower vehicle production volumes at one major OEM moving from three shifts to two shifts at the end of 2024.

Employment levels on the payroll of the independent vehicle importers, at their head offices and dedicated dealerships.

PERIOD	TOTAL
End of quarter 4, 2022	7,610
End of quarter 4, 2023	7,517
End of quarter 1, 2024	7,485
End of quarter 2, 2024	7,517
End of quarter 3, 2024	7,603
End of quarter 4, 2024	7,580
End of quarter 1, 2025	7,575
End of quarter 2, 2025	7,682
End of quarter 3, 2025	7,767
End of quarter 4, 2025	7,903
End of quarter 1, 2026	8,034

Aggregate independent vehicle importers employment as at 31st March 2026 totalled a head count of 8,034 reflecting an increase of 136 jobs, compared to the head count of 7,903 as at the end of December 2025. Capital expenditure reported on an annual basis by the independent vehicle importers, at their head offices and dedicated dealerships, amounted to R18,1 million in 2025.

PERIOD	TOTAL
2019	R62.6 mil
2020	R53.3 mil
2021	R32.5 mil
2022	R54.3 mil
2023	R43.3 mil
2024	R63,6 mil
2025	R18,1 mil

The employment and capital expenditure data collection serves as important reference points, mainly to discern trends in the independent vehicle importers' landscape. As more new vehicle market entrants start to report data the trends will become more pronounced.

2. NUMBER OF SHIFTS

Various OEMs have returned to operations on a three-shift basis as well as multi-shifts in selected areas such as machining, press shops, paint shop operations and body shops in line with a recovery in vehicle production volumes post the pandemic as well as in supporting higher vehicle export volumes. During the quarter, two OEMs operated on a three-shift basis, one OEM on a combined single, double and three-shift basis, one OEM on a double shift, one OEM on a combined single- and double-shift basis, and two OEMs on a single-shift basis.

3. AVAILABILITY AND PRICE TRENDS OF COMPONENTS AND RAW MATERIALS

3.1. Imported components and raw materials

Improvements have been noted in South Africa's energy, ports and rail infrastructure landscape but challenges still remain, disrupting the availability and price trends of imported components. Prices of imported components and raw materials remained subject to exchange rate movements and the global price index.

3.2. Local components and raw materials

Although easing, port congestion and delays continued to disrupt supply chains during the quarter. Risk of supply on petro-chemical raw materials impacting carpets and interior trim such as foam has been noted during the quarter. Raw material pricing trends remain a function of exchange rate movements and the global price index.

4. UTILISATION OF PRODUCTION CAPACITY: 2022 - 2026 Q1

Average motor vehicle manufacturing industry capacity utilisation levels, by sector and for the years/quarters indicated, may be illustrated as follows:

	Year 2022	Year 2023	Year 2024	Year 2025	Q1 2026	Q1 2025 Range [High] [Low]	
Cars	75.5%	92.8%	90.4%	86.6%	78.6%	97.6%	47.0%
Light Commercial	65.2%	77.9%	74.4%	71.3%	74.3%	100%	33.3%
Medium Commercial	69.1%	58.5%	39.4%	45.5%	60.0%	100%	34.0%
Heavy Commercial	83.8%	79.6%	81.1%	77.6%	77.5%	100%	23.0%

Average industry capacity utilisation levels during the first quarter 2026 reflected prevailing markets conditions as well as lower vehicle production driven by lower export volumes during the quarter. The experience of the various OEMs in the different segments differed from one another as determined by their specific business models and balance of trade.

5. VEHICLE MANUFACTURING INDUSTRY CAPITAL EXPENDITURE: 2019 - 2025

naamsa reports the industry's aggregate capital expenditure on an annual basis. The aggregated data is based on capital expenditure details supplied by the major vehicle manufacturers. Details of actual industry capex for 2019 through 2025, in Rand millions, are as follows:

CAPITAL EXPENDITURE	2019	2020	2021	2022	2023	2024	2025
Product/Local/Content/ Export Investment/ Production Facilities	6,705.8	7,296.2	4,910.8	6,443.9	4,393.3	6,685.5	6, 264.7
Land and Buildings	234.5	1,558.1	3,641.4	203.8	215.3	312.2	410.3
Support Infrastructure [I.T., R&D, Technical, etc.]	334.0	377.4	248.5	464.6	561.6	300.2	512.5
TOTAL	7,274.3	9,231.7	8,800.7	7,112.3	5,170.2	7,297.9	7,187.5

Capital expenditure amounted to R7,2 billion in 2025 [excluding Mercedes-Benz SA]. The continued high levels in capital expenditure over recent years are due to investment projects by manufacturers in terms of the Automotive Production Development Programme [APDP] and APDP2, which are normally spread over multiple years and linked to new generation model investment cycles as well as higher levels of production for export markets. There has been an increasing trend in investments in hybrid and plug-in hybrid models in the domestic market over recent years.

6. TRANSFORMATION | NEVS SIGNAL SOUTH AFRICA'S ACCELERATING SHIFT TOWARD ELECTRIFIED MOBILITY

South Africa's Plug-in Hybrid Electric Vehicle (PHEV) market remains in an emerging phase, but the latest data reveals a gradual strengthening of consumer acceptance and market presence over the past decade. Between 2005 and 2014, the market recorded virtually no activity, reflecting the absence of electrification policies, limited model availability, and a domestic market still heavily dependent on traditional internal combustion technologies. The first measurable movement only began in 2015 with 124 units, followed by moderate annual growth as global OEMs slowly introduced hybrid technologies into the South African market.

From 2015 to 2020, the PHEV segment experienced inconsistent but important developmental growth, with annual volumes fluctuating between 54 and 168 units. While still relatively small, this period established the foundation for consumer familiarity with electrified mobility. The real market shift began after 2021, when volumes accelerated from 126 units in 2022 to 368 units in 2023 and then doubled again to 738 units in 2024. This momentum intensified significantly in 2024 and 2025, with volumes reaching 2,810 units in 2025 and 1,277 units already recorded by March 2026 year-to date. The cumulative total of 6,114 PHEVs now demonstrates that electrified mobility is steadily transitioning from a premium niche into a recognised part of the South African automotive landscape.

The growth trajectory of PHEVs highlights an important strategic reality for South Africa's automotive transition. Consumers appear increasingly comfortable adopting hybrid technologies that combine electrification benefits with the security of conventional fuel systems, particularly in an environment still constrained by charging infrastructure limitations, electricity supply concerns, and affordability pressures. The data suggests that PHEVs may serve as a practical transitional technology between traditional internal combustion engines and fully battery-electric vehicles. As global automotive markets accelerate decarbonisation and emissions regulations tighten, South Africa's policy framework, industrial incentives, and localisation strategies will need to evolve to support both hybrid and electric vehicle technologies if the country intends to remain globally competitive within the future automotive value chain.

7. BUSINESS CONDITIONS, PERFORMANCE INDICATORS AND COMMENT

Business Conditions: First Quarter: 2026

2026 First quarter aggregate industry new passenger car sales at 114,482 units recorded an increase of 12,706 units, or a gain of 12,5% compared to the 101,776 new passenger cars sold during the corresponding quarter of 2025. Aggregate industry commercial vehicle sales during the first quarter of 2026, at 47,464 units, recorded an increase of 5,108 units, or a gain of 12,1% compared to the 42,356 units sold during the fourth quarter of 2024.

Industry domestic sales growth: Direction and extent of change [previous and corresponding quarter's percentage changes are reflected in brackets]				
	Qtr. ended 31 March 2026 compared with <u>previous Qtr. ended</u> <u>31 December 2025</u>		Qtr. ended 31 March 2026 compared with <u>corresponding Qtr.</u> <u>ended 31 March 2025</u>	
Passenger Cars	+0.3%	[+2.3%]	+12.5%	[+15.2%]
Light Commercial vehicles	+5.3%	[-0.1%]	+13.0%	[+22.7%]
Medium Commercial vehicles	-2.9%	[-3.6%]	+0.2%	[-0.8%]
Heavy Commercial vehicles	+13.4%	[-13.8%]	+29.5%	[+1.4%]
Extra Heavy Commercials	-4.5%	[-6.1%]	+3.1%	[-4.8%]
Buses	-20.5%	[-30.3%]	+3.3%	[-16.7%]

Aggregate new vehicle sales during the first quarter 2026 recorded an increase of 12,4% compared to the corresponding quarter 2025 and an increase of 1,2% compared to the fourth quarter 2025. Light vehicle volumes were supported by the cumulative effect of lower interest rates, low vehicle inflation, improved business and consumer confidence as well as ongoing broader model and price choices. The profound growth momentum of Chinese brands continues to make a meaningful presence in the domestic market with another four new brands entering the domestic market during the quarter. Sales in the heavy commercial vehicle segments were also supported by improved business sentiment along with higher logistics activity during the quarter.

New energy vehicle [NEV] sales by 23 industry brands increased by 31,5% from 3,487 units in the first quarter 2025 to 4,585 units in the first quarter 2026, following an 3,5% increase during the fourth quarter 2025 compared to the fourth quarter 2024. For the full year 2025, NEV sales by 30 industry brands increased by 7,1% to 16,716 units compared to the 15,611 units in 2024 and comprised 2,8% of the total new vehicle market in 2025 compared to 3,0% in 2024.

The following table reveals the diversity of drivetrain sales in the South African NEV landscape from 2020 through to 2026 Q1

	Year 2020	Year 2021	Year 2022	Year 2023	Year 2024	Year 2025	Q1:2025	Q1:2026
Plug-in hybrid	77	51	122	368	738	2,810	241	1,277
Traditional hybrid	155	627	4,070	6,485	13,616	12,818	2,970	2,764
Electric	92	218	502	929	1,257	1,088	276	544
Total NEVs	324	896	4,694	7,782	15,611	16,716	3,487	4,585

On 24 December 2024, President Cyril Ramaphosa signed the Taxation Laws Amendment Bill into law. Of particular interest to EVs is the amendment of section 12 of the Income Tax Act, with section 12V inserted, which took effect on 1 March 2026. Section 12V provides a 150% tax deduction of the cost of certain parts and assets used by OEMs in the production of electric battery-powered or hydrogen-powered vehicles in South Africa. The incentive will apply to all qualifying equipment and buildings, including any additions or improvements, which are put into use for the first time between 1 March 2026 and 1 March 2036. Equally important is securing EV component production in South Africa, as well as domestic beneficiation of the metals and minerals required in the EV value-chain. Government has committed R1 billion over the medium term, aiming to attract an additional R30 billion in private sector investment.

The emphasis on decarbonisation and green industrialisation introduces a pivotal shift for the automotive industry. Government sees the automotive industry as part of the green industrialisation strategy, and this reframes the transition to New Energy Vehicles (NEVs) as an industrial and investment opportunity rather than merely a compliance requirement. **naamsa** looks forward to the implementation of the SAAM 2035 and APDP2 review, which will provide a necessary roadmap for NEV production and domestic market growth while realigning the incentive framework to reflect changes in OEM capacity, driven by geopolitical factors. The inclusion of alternative vehicle technologies, such as hybrids and plug-in hybrids alongside subsidies for consumers, remain as a crucial step towards the widespread adoption of cleaner, more sustainable vehicles in the country.

South African Automotive Industry's Performance in a Global Context: 2020 - 2025 production data: Following a year-on-year gain of 0,9% in 2024, global vehicle production increased by 3,5% to reach 96,4 million vehicles, up from the 92,7 million units produced in 2024. Global vehicle sales increased by 4,7% to 99,8 million units in 2025, up from 95,3 million units sold in 2024.

The following table reflects SA's share of global vehicle production for 2020 to 2025 [in millions]

	2020	2021	2022	2023	2024	2025	% change 2025 / 2024
Global Production	77.71	80.21	84.83	93.45	92.72	96.38	+3.5%
South Africa Production	0.45	0.50	0.56	0.63	0.60	0.62	+2.9%
SA Share: Global Production	0.58%	0.62%	0.65%	0.67%	0.65%	0.64%	-1.5%

South Africa forms part of the group of global second-tier countries producing below one million vehicles per annum. The country's vehicle production increased by 2,9%, from 600 473 units in 2024 to 618 077 units in 2025, slightly below the year-on-year increase in global vehicle production of 3,9% in 2025. South Africa's global vehicle production market share thus decreased from 0,65% in 2024 to 0,64% in 2025, while its global vehicle production ranking remained at 21st. In terms of global LCV production, the country was ranked 15th, with a market share of 1,2%. South Africa remained the dominant market on the African continent and accounted for 50,3% of the total African vehicle production of 1,23 million vehicles in 2025.

First quarter 2026 domestic vehicle production reflected a decrease of 5,3 % compared to the corresponding quarter 2025. Lower vehicle exports during the quarter resulted in lower production volumes in the passenger car and LCV segments. Production volumes in the heavy commercial vehicle segments benefited from an improved economic climate and higher export volumes.

The following table reflects South Africa's domestic vehicle production for 2020 to 2026 Q1

	2020	2021	2022	2023	2024	2025	2025 Q1	2026 Q1
Passenger Cars	237,214	239,266	309,423	336,012	350,384	327,990	81,983	78,838
LCVs	185,691	232,166	215,472	262,646	217,562	255,807	56,305	50,862
MCVs	6,874	7,643	8,478	8,362	7,778	8,296	2,045	2,039
HCVs	4,208	5,151	6,269	5,719	5,653	6,767	1,447	1,878
XHCVs	11,484	14,175	15,498	18,841	17,799	16,597	3,682	4,095
Buses	745	685	745	782	995	1,009	198	199
TOTAL	446,216	449,086	555,885	632,362	600,171	616,466	145,660	137,911

At the end of 2025, South Africa had a vehicle parc (number of registered vehicles) of 13,68 million, of which 8,18 million, or 59,8%, comprised passenger cars. Car ownership can have a profound impact on society, the economy, and individuals, from social dynamics and economic growth to personal freedom and lifestyle choices.

In 2025, vehicle exports increased to a record 414,271 units, up 5,9% compared to the 391,128 units exported in 2024. The diverse portfolio of vehicles ranging from commercial trucks to luxury sedans continued to capture the attention and high expectations of consumers worldwide. The 414,271 left- and right-hand drive vehicles, comprising a substantial 70,5% of light domestic vehicle production, were exported to 109 countries around the world in 2025.

Preferential trade agreements are central to South Africa's export-led automotive model, enabling competitiveness, attracting foreign direct investment, sustaining jobs, contributing to sector growth, generating foreign exchange earnings, and integrating the country into global and regional automotive value chains. The domestic automotive industry has materially benefited from the various trade arrangements over the past three decades opening certain markets in Europe, the US, and Africa, among others. Via the EPAs with the EU and the UK, the region dominated and accounted for a substantial 80,3%, or four out of every five vehicles exported in 2025, with 56,8% of light vehicle production destined for the region. The significance of the 2035 timeline in Europe to ban the sales of ICE vehicles, with countries such as Germany already implementing the ban from 2030 onwards, requires and urgent and strategic intervention on the part of South Africa's supply- and demand-side automotive policies.

Industry export performance by major region - 2020 to 2026 Q1

	2020	2021	2022	2023	2024	2025	Q1:2025	Q1:2026
Europe	197,355	229,672	255,709	301,639	295,762	332,695	79,737	69,298
North America	9,463	7,981	21,684	20,910	25,554	6,530	1,894	2,675
Asia	29,440	24,170	35,154	35,015	29,265	19,827	4,933	3,617
Africa	17,127	21,994	22,769	25,596	26,200	35,728	6,890	9,115
Australasia	13,698	10,620	12,389	12,483	10,875	13,104	2,791	2,127
Central America	3,156	3,045	2,759	2,952	2,593	5,816	1,237	643
South America	1,188	706	1,527	1,214	879	568	133	61
TOTAL	271,427	298,188	351,991	399,809	391,128	414,268	97,615	87,536

Vehicle exports decreased by a 10,3% in the first quarter 2026 compared to the corresponding quarter 2025 due to decreasing exports to all major regions, with the exception of Africa and North America. Notable increases were noted to Nigeria, Zimbabwe and Zambia as far as increased exports to Africa were concerned. Vehicle exports to North America remained affected by the Section 232 protectionist automotive duty imposed by the US but exports to Canada increased during the quarter. Despite heightened protectionism across several of South Africa's key export markets along with the unfolding conflict in the Middle East, domestic vehicle exports continued to show resilience during the quarter.

8. CONFIDENCE INDEX

The **naamsa** CEOs Confidence Index is an in-house leading business confidence indicator of current and future developments in the domestic automotive industry. The **naamsa** Confidence Index is built to enhance the quarterly reporting with opinions canvassed anonymously from each of the **naamsa** CEOs. The questions focus on views related to automotive business conditions in particular as well as the country's economy in general.

8.1. Quarter 1 of 2026 vs Quarter 1 of 2025

PERFORMANCE INDICATOR	UP	SAME	DOWN
Domestic new vehicle sales	50%	25%	25%
Vehicle export sales	25%	50%	25%
Vehicle production volumes	25%	25%	50%
Vehicle import volumes	25%	25%	50%
Employment - vehicle manufacturing	25%	50%	25%
Capacity utilisation	25%	50%	25%
Investment expenditure	25%	75%	0%
General new vehicle business conditions	75%	25%	0%

The sentiments expressed by the CEOs of the **naamsa** automotive companies during the first quarter of 2026 reflect the upward momentum in the domestic new vehicle market along with the more favourable macro-economic conditions but also reflect the different experiences by the domestic OEMs and independent importers. The CEOs generally viewed domestic business conditions during the quarter as favourable, in particular the CEOs of imported brands with affordable models. Lower vehicle production volumes were linked to lower vehicle exports during the quarter relating to the impact of ongoing protectionist policies in certain regions as well as new model launch preparations. Globally the conflict in the Middle East commencing at the end of February 2026 caused major global disruptions, primarily in aviation, maritime shipping, and energy markets. Key impacts included widespread flight cancellations, rerouting around restricted airspace, escalating energy prices, supply chain bottlenecks, and severe humanitarian crises in the region. However, the impact of the conflict in domestic and global automotive value chains was still evolving during the quarter.

8.2. Next 6-months

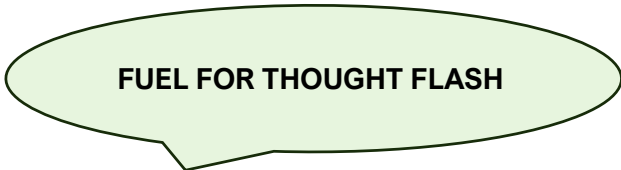
PERFORMANCE INDICATOR	UP	SAME	DOWN
Domestic new vehicle sales	50%	50%	0%
Vehicle export sales	0%	75%	25%
Vehicle production volumes	50%	25%	25%
Vehicle import volumes	50%	25%	25%
Employment - vehicle manufacturing	25%	75%	0%
Capacity utilisation	25%	50%	25%
Investment expenditure	0%	75%	25%
General new vehicle business conditions	50%	25%	25%

The CEOs of the **naamsa** companies expressed a narrative of resilience and positive momentum as far as the outlook on the business environment and some of the industry's key performance indicators for the next six months are concerned. The extent of the impact of the escalating conflict in the Middle East leading to supply shocks globally and higher oil prices was still unfolding. Geopolitical tensions can quickly translate into logistics disruptions with global consequences. However, the vehicle export performance is expected to stabilise as OEMs diversify markets and invest further in NEV capabilities. The industry is anticipating progressive policy support measures as part of the official review of the South African Automotive Masterplan (SAAM) 2035 and Automotive Production Development Programme Phase 2 (APDP2) in 2026. Expanded APDP2 incentives should attract further commitments to NEV production, which would strengthen long-term competitiveness, and drive deeper inclusion across the value chain.

8.3. Brief Comment on business conditions and the medium-term outlook

The new vehicle market during the first quarter 2026 reflected the best quarter 1 figures since 2013, with March 2026 reflecting an 18th consecutive month of growth. Improved consumer and business confidence, supportive inflation dynamics during the quarter, the lagged benefits of cumulative interest rate reductions, as well as the ongoing influx of new entrants with affordable models continued to benefit the new vehicle market. Although a first quarter of this quality provides a solid base for the balance of the year, the external environment has shifted materially over recent weeks, introducing new risks that will likely shape demand conditions in the months ahead. The conflict in the Middle east may stoke inflation and pose a significant stagflationary threat to the domestic economy, resulting in lower than anticipated economic growth, higher inflation as well as potential interest rate increases instead of further interest rate cuts as were initially expected for the year. This serves as a reminder how global adverse events impact on the domestic automotive industry and economy and hence on market demand for new vehicles.

The industry's export performance faced structural headwinds amid geopolitical turbulence and decreased during the quarter compared to the corresponding quarter 2025. However, the rebound in vehicle exports to record levels in 2025 demonstrated the industry's resilience through growing exports to other global destinations and its ability to navigate shifting global trade conditions. Prospects for vehicle export growth for the balance of the year remain optimistic on the back of further new model introductions by major exporters in the domestic market.

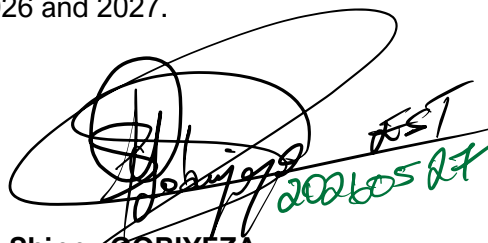


FUEL FOR THOUGHT FLASH

The export value of vehicles and automotive components increased by R22,2 billion, or 8,3%, from R268,8 billion in 2024 to a record R291,0 billion in 2025, comprising a significant 15,6% of total South African exports.

The standard attached schedule reflects updated industry sales, production, export and import numbers. Projections include forecasts for 2026 and 2027.

Kind regards,



Shiny GOBIYEZA
Int. Chief Executive Officer
naamsa | The Automotive Business Council